# Practice workbook · Why prepare a bank reconciliation statement?

The nature and benefits of a bank reconciliation, up to advising whether to keep doing one.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-CTL-10

# 1. Question 17 · part c · 5 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

**17** At the close of business on 31 March 2024 the business bank account of Numan showed a debit balance of $3 145.53

On the same date he received a bank statement that showed a credit balance of $1 862.93

On investigation he identified the following reasons for the difference.

- Bank charges, $84, had not been recorded in the cash book.
- The bookkeeper had overcast the total of the debit entries in the cash book by $360
- The bank statement included a direct debit, $750, for rent that had not been recorded in the cash book.
- Cash takings, $1 234, banked on 31 March 2024, had not yet appeared on the bank statement.
- Two cheques sent to suppliers during March 2024 had not yet been presented for payment:
  - Cheque No: 110 Hope $321.95
  - Cheque No: 119 Crosbie $823.45

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# 1. Question 17 · part c · 5 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

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(a) Prepare the updated cash book at 31 March 2024 and bring the balance down on 1 April 2024.

**(5)**

**Cash Book – Bank Column Only**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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(b) Prepare a bank reconciliation statement at 31 March 2024.

**(5)**

**Bank Reconciliation Statement at 31 March 2024**

| | $ |
|---|---|
| Balance as per cash book | |
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# 1. Question 17 · part c · 5 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

(c) Explain to Numan **two** benefits to his business of preparing a bank reconciliation statement each month, advising him whether he should continue to do so.

**(5)**

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**(Total for Question 17 = 15 marks)**

# 1. Question 17 · part c · 5 marks · Working and answer

Working and answer

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## 2. Question 13 · part a · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part a only.

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**13** (a) State **two** benefits of preparing a bank reconciliation statement.

**(2)**

1 .....

2 .....

(b) Define the following terms.

**(3)**

| Term | Definition |
|---|---|
| Unpresented cheques | |
| Outstanding lodgements | |
| Dishonoured cheque | |

**(Total for Question 13 = 5 marks)**

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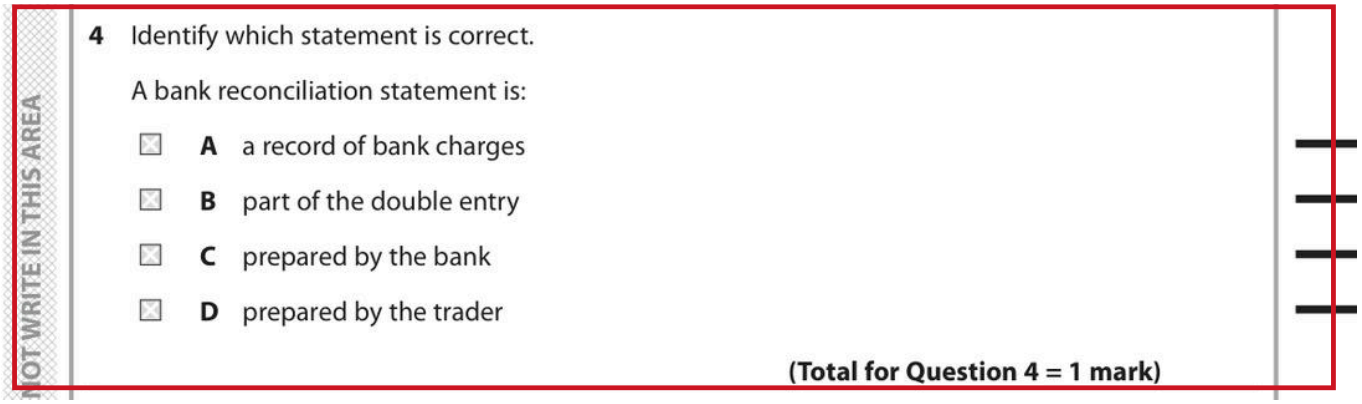
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Working and answer

## 3. Question 4 · part whole · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



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**4** Identify which statement is correct.

A bank reconciliation statement is:

- ☒ **A** a record of bank charges
- ☒ **B** part of the double entry
- ☒ **C** prepared by the bank
- ☒ **D** prepared by the trader

**(Total for Question 4 = 1 mark)**

Working and answer

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# 4. Question 18 · part c · 5 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

**18** On 31 January 2022 Karmele's bank statement balance did not agree with her cash book balance.

She identified that the following items on the bank statement had not been entered in the cash book.

| Date 2022 | Details | $ |
|---|---|---|
| Jan 19 | Direct debit – Vertigo | 75 |
| 27 | Credit transfer – Jacques | 260 |
| 29 | Customer dishonoured cheque – Booth | 110 |

(a) Prepare the cash book to show the updated balance on 31 January 2022, bringing the balance down on 1 February 2022.

**(5)**

**Cash Book - Bank Column**

| Date 2022 | Details | $ | Date 2022 | Details | $ |
|---|---|---|---|---|---|
| | | | Jan 31 | Balance b/d | 1 580 |
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Karmele identified that the following items in the cash book had not yet appeared on the bank statement.

| Date 2022 | Details | $ |
|---|---|---|
| Jan 28 | Cheque payment 483240 | 66 |
| 30 | Cheque payment 483241 | 350 |
| 31 | Cash sales banked | 185 |

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## 4. Question 18 · part c · 5 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(b) Prepare a bank reconciliation statement at 31 January 2022.

(5)

**Bank reconciliation statement at 31 January 2022**

| | $ | $ |
|---|---|---|
| Balance per updated cash book | | |
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(c) Explain to a business the advantages of preparing a bank reconciliation statement.

(5)

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**(Total for Question 18 = 15 marks)**

## 4. Question 18 · part c · 5 marks · Working and answer

Working and answer

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## 5. Question 16 · part a · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part a only.

**16** (a) State **two** advantages of preparing a bank reconciliation statement.

(2)

1 .....

2 .....

On 28 February 2022 Nabil's bank statement showed a credit balance of $135
On the same date the cash book showed a credit balance of $180

The following had not been entered in the cash book:

- a direct debit for telephone, $42
- a dishonoured cheque from Barjey Ltd, $668
- a credit transfer from BX Trading, $475
- cash sales banked, $295
- cheque drawn for cash, $120

(b) (i) Prepare the updated cash book to show the adjusted balance on 28 February 2022, bringing the balance down on 1 March 2022.

(6)

**Cash Book - Bank Column**

| Date 2022 | Details | $ | Date 2022 | Details | $ |
|---|---|---|---|---|---|
| Feb 28 | | | Feb 28 | | |
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## 5. Question 16 · part a · 2 marks · Working and answer

Working and answer

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## 6. Question 17 · part a · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a only.

**17** (a) State **one** benefit of preparing a bank reconciliation statement.

(1)

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On 31 March 2023 Waan identified that the following transactions had not yet been entered in the cash book.

- Cash banked, $350
- Cheque to restore petty cash, $75
- Bank interest received, $8
- Standing order for rent, $300

(b) (i) Prepare the updated cash book on 31 March 2023 and bring the balance down on 1 April 2023.

(5)

**Cash Book – Bank Column**

| Date 2023 | Details | $ | Date 2023 | Details | $ |
|---|---|---|---|---|---|
| March 31 | Balance b/d | 1 100 | | | |
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16

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## 6. Question 17 · part a · 1 mark · Working and answer

Working and answer

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# 7. Question 16 · part c · 4 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

**16** On 30 April 2024, Nabil's bank statement showed a credit balance of $386
On the same date, his cash book showed a debit balance of $1 410

When comparing the cash book with the bank statement, Nabil found the following differences.

The following items appeared **only** on the bank statement.

- Standing order, $350, paid for rent.
- Bank interest, $28, received.
- Cheque, $110, received from Petra, had been dishonoured.
- Electronic transfer, $85, received from Bob.
- Bank charges, $35

The following items appeared **only** in the cash book.

- Cheque, $248, paid to Fatima.
- Cash sales, $890, banked.

(a) Prepare the updated cash book at 30 April 2024 and bring the balance down on 1 May 2024.

(7)

**Cash Book – Bank Column Only**

| Date 2024 | Details | $ | Date 2024 | Details | $ |
|---|---|---|---|---|---|
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## 7. Question 16 · part c · 4 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

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(b) Prepare a bank reconciliation statement at 30 April 2024.

(4)

**Bank Reconciliation Statement at 30 April 2024**

| | $ |
|---|---|
| Balance as per cash book | |
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(c) Explain **two** benefits to a business of preparing a bank reconciliation statement.

(4)

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2 .....

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**(Total for Question 16 = 15 marks)**

## 7. Question 16 · part c · 4 marks · Working and answer

Working and answer

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